Question 1: Solution

Question 1

Expectation of revenue for nine months to 31 March 20X5

Expectation of Revenue

	£'000
Prior year revenue	2,896
Expected Q1–Q3 revenue adjusted for seasonality (50% x £2,896k) **(1 mark)**	1,448
Inflationary increase Aug–Mar (3% x 8/9 months x £1,448) **(1 mark)**	39
Expected annual revenue based on existing products **(1 mark)**	1,487
Expected Q1–Q3 revenue of new 3X product (25% **(1 mark)** x 10,000 units x £95) **(1 mark)**	238
Total expected Q1–Q3 revenue **(1 mark)**	1,725

Comparisons (£'000 for 9 months to 31 March 20X5):

Actual revenue per management accounts	Expected revenue per calculation	Variance
2,928	1,725	1,203

(1 mark)

This indicates a potential overstatement of 1,203k. **(1 mark)**

Questions 2 and 3

Planning analytical review and audit approach

Audit Risk	Approach
Revenue As calculated in question 1, there is a significant increase against expectation. There may be a risk that, following the departure of the sales director at Christmas **(1 mark)**, revenue has not been accounted for correctly **(1 mark)** and revenue is subsequently overstated. **(1 mark)**	Increased testing should be carried out over revenue including increased sample sizes and work on cut-off testing. **(1 mark)** More reliable audit evidence in relation to revenue should be obtained, including corroboration to contracts, external confirmations and cash receipts where available. **(1 mark)** Increased focus should be applied to the period since Christmas **(1 mark)** as this is when the sales director retired. **(1 mark)**
Gross profit Gross profit margin for the period to 31 March 20X5 is ahead of both the prior year and budget. However, the new 3X machine is attracting very low margins due to low introductory prices and increases in supplier prices being passed on to customers through a price increase. **(1 mark)** Therefore, we would expect the GPM to have remained steady or marginally decreased. **(1 mark)** This further suggests that revenue may be overstated **(1 mark)**, or alternatively that the cost of sales is understated. **(1 mark)**	We will discuss with management any changes to sales prices or supplier costs during the year which could impact profit margin **(1 mark)** and confirm these with documentary evidence, such as sales and purchase invoices. **(1 mark)**

Audit Risk	Approach
Depreciation expense Depreciation of assets has increased by 56% compared to prior year and is 12% above budget. The company appears to have purchased assets (maybe the new computerised inventory system), and this could account for the increased depreciation expense. **(1 mark)** The new computerised inventory system may replace existing fully written-down assets or carry a higher depreciation expense than the assets associated with the prior system. **(1 mark)** However, the depreciation policy may be inappropriate **(1 mark)** resulting in an overstatement of depreciation. **(1 mark)**	Consider the appropriateness of the depreciation policy, with reference to industry norms. **(1 mark)** Perform a depreciation reasonableness test **(1 mark)** to confirm the accuracy of the depreciation charge. **(1 mark)**
PPE Property, plant and equipment has increased by 9% compared to budget and 48% on the prior year. This will, in part, be due to the new computerised inventory system. **(1 mark)** However, this is a significant increase and may indicate additional PPE expenditure **(1 mark)** of which we are unaware or an overstatement of PPE. **(1 mark)**	For a sample of PPE additions, agree to the invoice **(1 mark)** to confirm the value and appropriateness of capitalisation. **(1 mark)**
Inventory Inventory is significantly higher than both budget (up 80%) and prior year (up 140%). This is probably due to the company building up inventory of the new 3X product, **(1 mark)** which was expected to sell 10,000 units in the first quarter since its release and only achieved 25% of that. **(1 mark)** The company may also be stocking up ahead of Q4 when the majority of sales are made. **(1 mark)** Although management expects sales of the new product to increase, experience to date indicates budgets may be unlikely to be met. **(1 mark)** With current low margins on products, there may need to be a provision raised against inventory and a risk that inventory is overstated. **(1 mark)** We are also aware that the company has failed to conduct inventory counts for a while, therefore, inventory may also be overstated due to an error or fraud (weak controls). **(1 mark)**	We should obtain sufficient evidence supporting the valuation of 3X inventory, including inspecting post-year-end sales invoices or orders **(1 mark)** that support the fact that the product will recover its cost. **(1 mark)** We should also review management's procedures for identifying and providing for slow-moving inventory. **(1 mark)** We must attend the year-end inventory count, paying attention to the existence of inventory. **(1 mark)** We will increase the extent of testing that we perform at the inventory count and increase our scepticism over the adequacy of the procedures. **(1 mark)**

Audit Risk	Approach
Trade receivables Trade receivables have increased by 74% against the prior year and 48% on budget. This may in part be due to the increased revenue figure recorded in the current year (suggesting trade receivables may also be overstated) **(1 mark)** or it may indicate that customers are paying more slowly and that trade receivables may not be recoverable **(1 mark)** and are therefore overstated. **(1 mark)**	We will inspect post-year-end cash receipts and customer correspondence **(1 mark)** to quantify the value of debt that may not be recoverable and ensure an appropriate provision exists. **(1 mark)** We will also review management's bad debt policy and consider if it is reasonable in light of historic bad debt trends within Lovely Lawns. **(1 mark)**

Question 2: Solution

Review the following table.

Audit Risk	Audit Approach
Going Concern There is a risk of uncertainties relating to going concern resulting from: **Loss of a large customer** At the end of June 20X6, the largest customer, James Lewisham, who contributed 40% of sales, ceased trading. In the months prior to the cessation, Lewisham's trade has been a sizeable part of YF's business and the trade receivables balance relating to Lewisham at 31/07/20X6 has a risk of non-recovery. **(1 mark)** The loss of Lewisham may have a significant impact on YF's going concern **(1 mark)** if new customers are not found or existing customers do not purchase additional volumes. **(1 mark)** **Loan due for repayment in March 20X7** YF may not have sufficient funds to repay the loan in March 20X7. **(1 mark)** Going concern – forecasted unauthorised breach of overdraft limit As YF is forecasting an unauthorised breach in the overdraft in December 20X6 there is a risk that the bank will withdraw the facility. **(1 mark)**	Evaluate management's method for assessing the company's ability to continue as a going concern. **(1 mark)** Evaluate the relevance and reliability of the assumptions used to assess going concern including reviewing cashflow forecasts and other assumptions. **(1 mark)** Specifically discuss and review relevant forecasts which incorporate the loss of James Lewisham with management. **(1 mark)** Discuss the loan and overdraft financing with management, to determine whether they have contingency plans should financing be withdrawn. **(1 mark)** Discuss management's future plans for making the loan repayments. **(1 mark)** Written representations should be obtained regarding any future plans or actions. **(1 mark)** Obtain any facts or information available since management's assessment, including inspecting the loan agreement and correspondence with the lender to determine the likelihood of whether the loan will be extended. **(1 mark)** We should also assess the recoverability of James Lewisham receivables balance at the year end. **(1 mark)**
Complex accounting – forward contracts YF will enter into a forward contract for the first time during the year. **(1 mark)** This is a complex area of accounting **(1 mark)** and there is a risk that the forward contract is accounted for incorrectly in the financial statements. **(1 mark)**	Inspect the underlying agreements and other forms of supporting documentation for forward contracts outstanding at the year-end **(1 mark)** and recalculate the fair value of the forward contract. **(1 mark)**
Translation of foreign currency balances and transactions – valuation and allocation, accuracy YF has a euro account and also pays supplier invoices which are in yuan. **(1 mark)** There is a risk that currencies are not translated at the correct rates **(1 mark)** and exchange gains/losses are incorrectly recorded in YF's accounts. **(1 mark)**	Recalculate the gain/loss arising upon translation of transactions into sterling,**(1 mark)** using a reputable third-party exchange rate, and ensure this is accounted for in line with *IAS 21 The Effects of Changes in Foreign Exchange Rates.* **(1 mark)**

Audit Risk	Audit Approach
Manipulation of results to meet banking covenants YF is consistently close to the minimum interest cover required by the bank covenant. **(1 mark)** Due to the incentive to achieve covenant requirements, there is an increased risk of YF's management manipulating the company's results **(1 mark)** (eg overstatement of revenue/profit) to meet covenants. **(1 mark)** *This could also be considered in relation to going concern risk.*	Increase our professional scepticism and unpredictability in selection of audit procedures. **(1 mark)** Include more experienced team members within the audit team and increase supervision of the audit team. **(1 mark)**
VAT liability – valuation and allocation The VAT investigation noted that the incorrect VAT rate had been applied in several instances, resulting in an underpayment. **(1 mark)** This increases the likelihood of fines and penalties which must be correctly disclosed in the accounts. **(1 mark)** The VAT payable balances may also be incorrectly disclosed in the financial statements. **(1 mark)**	Increase substantive testing throughout the sales cycle **(1 mark)** to ensure that VAT is being correctly treated and recorded by YF. **(1 mark)** Review correspondence from HMRC regarding VAT investigation **(1 mark)** and ensure that any fines/penalties are accounted for correctly. **(1 mark)**
Increase in sales returns – overstatement of revenue and inventory There has been an increase in sales returns from 3.1% of sales in 20X5 to 6.1% by July 20X6. **(1 mark)** There is a risk that there may be an issue with further items sold in July 20X6 or that returns are not properly accounted for **(1 mark)** and revenue is overstated. **(1 mark)** Returned garments are often unable to be sold at full sales price. **(1 mark)** Goods may have to be heavily discounted and sold below cost to move them, or the valuation is not at the lower of cost and NRV. **(1 mark)** Therefore, there is a risk that inventory valuation may be overstated. **(1 mark)**	Increase the level of testing of post-year-end sales returns **(1 mark)** and assess the adequacy of the sales returns provision. **(1 mark)** Review post-year-end sales prices **(1 mark)** to ensure that the inventory provision for obsolete or damaged inventory is adequate. **(1 mark)**
Trade receivables – valuation and allocation Trade receivable days have been steadily increasing during the first seven months of the year. **(1 mark)** This may indicate an increased risk of possible bad debts, and as a result, receivables may not be recoverable **(1 mark)** and may be overstated in the financial statements. **(1 mark)**	Carry out audit procedures to quantify the value of debt that may not be recoverable by reviewing the aged receivables reports and policies. Discuss balances with management and obtain evidence of recoverability, **(1 mark)** such as subsequent payment via bank statements or communication with the receivable. **(1 mark)**